

Financial Ratio Analysis of a Listed Company

Student: Suhas | Course: Financial Analysis | Analysis: FY2024-25 (Latest) & FY2023-24 (Previous Year)

Company Introduction

Asian Paints Limited (est. 1942) is India's largest and Asia's third-largest paint & coatings company, commanding ~54% domestic decorative paints market share. Principal business activities include manufacturing and selling of paints, coatings, waterproofing solutions, adhesives, modular kitchens, sanitaryware, bath fittings, uPVC windows, lighting, and home decor products. Key brands include Asian Paints, Apco Coatings, and Sleek. Industry/Sector: Consumer Discretionary > Consumer Durables > Paints & Coatings. Listed on BSE (Code: 500820) & NSE (Symbol: ASIANPAINT). The company is a constituent of BSE Sensex and Nifty 50 indices. Market Capitalisation: ~Rs.2,30,879 Crores (as of Oct 2026). Promoter Holding: 52.6%. Face Value: Rs.1 per share.

Financial Statement Extracts (Consolidated, Rs. in Crores)

A. Balance Sheet / Statement of Financial Position (as at March 31)

Particulars	FY2024-25	FY2023-24
EQUITY & LIABILITIES		
Shareholders' Equity (Share Capital + Reserves)	19,400	19,424
Non-Current Liabilities (Long-term Borrowings: 37 / 36)	2,171	1,999
Current Liabilities	6,216	6,222
- Short-term Borrowings	604	450
- Trade Payables	3,124	3,239
- Other Current Liabilities & Provisions	2,488	2,533
Total Equity & Liabilities	27,787	27,645
ASSETS		
Non-Current Assets (PPE, CWIP, Goodwill, Others)	13,380	12,035
Current Assets	14,407	15,610
- Inventories	5,848	5,075
- Trade Receivables	3,198	3,633
- Cash & Cash Equivalents	202	350
- Current Investments	3,245	4,825
- Other Current Assets	1,914	1,727
Total Assets	27,787	27,645

B. Income Statement / Statement of Profit & Loss (Year ended March 31)

Particulars	FY2024-25	FY2023-24
Revenue from Operations	33,906	35,495
Other Income	573	688
Total Income	34,479	36,183
Cost of Materials Consumed	13,238	13,450
Purchases of Stock-in-Trade	3,734	3,654
Employee Benefits Expense	2,014	1,816
Depreciation & Amortization	1,026	853
Finance Costs (Interest)	227	205
Other Expenses (incl. changes in inventory)	9,137	9,064
Total Expenses	29,376	29,042
Profit Before Tax (PBT)	5,103	7,141
Tax Expense	1,393	1,582
Net Profit (PAT)	3,710	5,559
Basic EPS (Rs.)	37.39	56.92

C. Cash Flow Statement Summary (Year ended March 31)

Particulars	FY2024-25	FY2023-24
Net Cash from Operating Activities	4,424	6,104
Net Cash used in Investing Activities	-874	-2,518
Net Cash used in Financing Activities	-3,753	-2,983

Q1. Liquidity Analysis - Ability to Meet Short-Term Obligations

[5 Marks]

Liquidity ratios measure the company's capacity to meet short-term obligations. For Asian Paints, a manufacturing company with significant inventory and receivables, four key liquidity ratios have been selected:

Ratio	Formula	FY2024-25 Calculation	Result	FY2023-24 Calculation	Result
Current Ratio	CA / CL	14,407 / 6,216	2.32	15,610 / 6,222	2.51
Quick Ratio	(CA-Inv.) / CL	(14,407-5,848)/6,216	1.38	(15,610-5,075)/6,222	1.69
Cash Ratio	(Cash+CurrInv)/CL	(202+3,245)/6,216	0.55	(350+4,825)/6,222	0.83
Op. CF Ratio	CFO / CL	4,424 / 6,216	0.71	6,104 / 6,222	0.98

Interpretation & Analysis: All four liquidity ratios declined in FY2025, signalling weakening but still adequate liquidity. The Current Ratio (2.32x vs 2.51x) remains comfortably above the 2.0x benchmark, confirming sufficient current asset coverage. The Quick Ratio fell more sharply (1.38x vs 1.69x, -18.3%), indicating a growing proportion of current assets locked in inventories (Rs.5,848 Cr, +15.2% YoY). The Cash Ratio declined significantly from 0.83x to 0.55x (-33.7%) as cash fell 42% (Rs.350 Cr to Rs.202 Cr) and current investments dropped 32.7% (Rs.4,825 Cr to Rs.3,245 Cr), driven by Rs.3,753 Cr in financing outflows (dividends/buybacks) exceeding reduced operating cash flow (Rs.4,424 Cr, -27.5% YoY). The Operating Cash Flow Ratio (0.71x vs 0.98x) confirms the company generated only 71% of current liabilities from operations in FY2025.

Liquidity Conclusion: Liquidity is adequate but deteriorating across all four metrics. Key risks: (i) rising inventory tying up working capital; (ii) depleting cash buffer from aggressive shareholder returns exceeding reduced operating cash generation; (iii) Operating CF Ratio below 1.0x. Short-term solvency is not threatened given the strong current ratio, but the sustained downward trend warrants close monitoring.

Q2. Solvency Analysis - Long-Term Financial Stability

[5 Marks]

Solvency ratios assess long-term financial stability and debt-servicing capacity. Asian Paints operates with minimal debt as a strategic choice, making the following ratios particularly insightful:

Ratio	Formula	FY2024-25 Calculation	Result	FY2023-24 Calculation	Result
Debt-to-Equity	Total Debt/Equity	(604+37)/19,400	0.033	(450+36)/19,424	0.025
Debt-to-Assets	Total Liab./TA	(2,171+6,216)/27,787	0.30	(1,999+6,222)/27,645	0.30
Interest Cover	EBIT / Interest	(5,103+227)/227	23.48x	(7,141+205)/205	35.84x
Equity Ratio	Equity / TA	19,400 / 27,787	0.70	19,424 / 27,645	0.70

Interpretation & Analysis: Asian Paints' solvency is exceptionally strong and stable across both years. The Debt-to-Equity ratio (0.033x) is near zero - total borrowings of Rs.641 Cr are negligible against Rs.19,400 Cr equity. The company is effectively debt-free (industry benchmark: 0.5-1.0x). The marginal increase from 0.025x reflects higher short-term borrowings (Rs.604 Cr vs Rs.450 Cr, +34.2%) for temporary working capital needs. Debt-to-Assets is rock-steady at 0.30x, with 70% of total assets financed by equity. Interest Coverage declined from 35.84x to 23.48x, but both values are exceptionally high (safe threshold: 3.0x) - the company can cover interest expenses 23 times over. The decline mirrors lower EBIT (-27.3%) rather than rising debt. The Equity Ratio at 0.70x confirms a highly conservative capital structure providing significant financial flexibility and resilience against shocks.

Solvency Conclusion: The solvency position is excellent with virtually zero long-term financial risk. The near-debt-free balance sheet (D/E: 0.033x), stable asset financing (Debt/Assets: 0.30x), very high interest coverage (23.48x), and robust equity ratio (0.70x) collectively provide a fortress-like financial position. The ICR decline reflects operational risk (lower profits), not solvency risk (higher debt).

Q3. Working Capital & Profitability Analysis

[5 Marks]

A. Working Capital Efficiency Ratios

Average Inventory: FY25=(5,848+5,075)/2=5,462 | FY24=(5,075+4,600)/2=4,838. Average Receivables: FY25=(3,198+3,633)/2=3,416 | FY24=(3,633+3,400)/2=3,517. Average Payables: FY25=(3,124+3,239)/2=3,182 |

Ratio	Formula	FY2024-25 Calculation	Result	FY2023-24 Calculation	Result
Inventory T/O	Rev/Avg.Inventory	33,906/5,462	6.21x	35,495/4,838	7.34x
(Inv. Days)	365/Turnover	365/6.21	~59 d	365/7.34	~50 d
Receivables T/O	Rev/Avg.Rec.	33,906/3,416	9.93x	35,495/3,517	10.09x
(Coll. Days)	365/Turnover	365/9.93	~37 d	365/10.09	~36 d
Payables T/O	Purchases/Avg.Pay	16,972/3,182	5.33x	17,104/3,170	5.40x
(Pay. Days)	365/Turnover	365/5.33	~68 d	365/5.40	~68 d
WC Turnover	Rev/NWC	33,906/8,191	4.14x	35,495/9,388	3.78x

Working Capital Interpretation: Inventory turnover deteriorated from 7.34x to 6.21x (days: 50 to 59), indicating slower stock conversion due to demand slowdown and raw material buildup. Receivables turnover remained stable (~10x, 36-37 days collection period) - a strength reflecting disciplined credit management. Payables turnover stable at ~5.4x (68 days) - Asian Paints leverages its market dominance to negotiate favorable supplier credit terms, collecting from customers (37 days) much faster than paying suppliers (68 days). Cash Conversion Cycle widened from 18 days (50+36-68) to 28 days (59+37-68), a 55.5% increase indicating more capital tied in the working capital cycle.

B. Profitability Ratios

EBITDA = PBT + Depreciation + Interest. Capital Employed = Total Assets - Current Liabilities. Average Equity: FY25=(19,400+19,424)/2=19,412 | FY24=(19,424+16,800)/2=18,112.

Ratio	Formula	FY2024-25 Calculation	Result	FY2023-24 Calculation	Result
Gross Margin	(Rev-Mat-Purch)/Rev	(33,906-16,972)/33,906	49.94%	(35,495-17,104)/35,495	51.81%
EBITDA Margin	EBITDA/Revenue	6,356/33,906	18.74%	8,199/35,495	23.10%
Net Profit Mgn	PAT/Revenue	3,710/33,906	10.94%	5,559/35,495	15.66%
ROE	PAT/Avg.Equity	3,710/19,412	19.11%	5,559/18,112	30.69%
ROCE	EBIT/Cap.Employed	5,330/21,571	24.71%	7,346/21,423	34.29%

Profitability Interpretation: All profitability metrics declined materially in FY2025. Gross Margin fell from 51.81% to 49.94% (-1.87pp) due to higher input costs (crude oil-linked TiO2, monomers) and competitive pricing pressure from Grasim/Birla Opus. EBITDA Margin compressed sharply from 23.10% to 18.74% (-4.36pp) driven by rising employee costs (+10.9%), other expenses, depreciation (+20.3% as capex was capitalized), and one-time charges (~Rs.363 Cr for White Teak/Causeway impairments, Indonesia divestment losses, Africa forex losses). Net Profit Margin fell from 15.66% to 10.94% as PAT declined 33.3% despite only 4.5% revenue decline, demonstrating negative operating leverage. ROE declined from 30.69% to 19.11% (though 19% still exceeds cost of equity ~12%). ROCE fell from 34.29% to 24.71% but remains well above WACC (~10%), confirming continued value creation despite the earnings downturn.

WC & Profitability Conclusion: Mixed signals in working capital - stable receivables/payables management is a strength, but rising inventory (59 days) and widening CCC (18 to 28 days) are concerns. Profitability has deteriorated across all metrics (Gross: -1.87pp, EBITDA: -4.36pp, Net: -4.72pp, ROE: 19% vs 31%, ROCE: 25% vs 34%). Key risks: competitive pressure from well-funded new entrants, rising costs, international operations losses. However, margins remain industry-leading and returns on capital still exceed cost of capital significantly.

Q4. Investment Recommendation

5 Marks

Consolidated Ratio Summary

Ratio	FY2024-25	FY2023-24	Change	Assessment
Current Ratio	2.32x	2.51x	-7.6%	Adequate
Quick Ratio	1.38x	1.69x	-18.3%	Adequate
Cash Ratio	0.55x	0.83x	-33.7%	Monitor
Op. CF Ratio	0.71x	0.98x	-27.6%	Monitor
Debt-to-Equity	0.033x	0.025x	+32%	Strong
Interest Coverage	23.5x	35.8x	-34.4%	Strong
Inventory T/O	6.21x	7.34x	-15.4%	Concern
Receivables T/O	9.93x	10.09x	-1.6%	Stable
Gross Margin	49.94%	51.81%	-1.87pp	Moderate
EBITDA Margin	18.74%	23.10%	-4.36pp	Concern
Net Margin	10.94%	15.66%	-4.72pp	Concern
ROE	19.11%	30.69%	-11.58pp	Moderate
ROCE	24.71%	34.29%	-9.58pp	Moderate

Key Financial Risks Identified

1. Profitability Risk (HIGH): Significant margin compression across all levels. EBITDA margin fell 4.36pp, PAT declined 33.3%. Competitive intensity from Grasim/Birla Opus (Rs.10,000+ Cr investment in paints) creates a well-funded competitor threatening to permanently reset industry margin structure. Rising costs (employee +10.9%, depreciation +20.3%) further compress profitability.
2. Working Capital Risk (MODERATE): Inventory buildup (+15.2%, inventory days rising from 50 to 59) and widening cash conversion cycle (18 to 28 days) tie up more capital. Combined with 27.5% decline in operating cash flow (Rs.4,424 Cr vs Rs.6,104 Cr), this could pressure liquidity if the trend persists.
3. Valuation Risk (MODERATE): P/E of 47.3x and Price-to-Book of 10.8x price in superior performance, but FY2025 delivered the weakest results in years. EPS fell from Rs.56.92 to Rs.37.39 (-34.3%). Risk of valuation de-rating if margin recovery disappoints market expectations.
4. International Operations Risk (LOW-MODERATE): One-time charges from Indonesian business exit and African forex losses (totaling ~Rs.363 Cr) highlight ongoing risks in international subsidiaries contributing to margin dilution.

Recommendation: CAUTIOUS HOLD for existing investors | AVOID for new investors at current valuations

Arguments AGAINST investing at current levels: (i) FY2025 is a significant earnings downgrade year - PAT declined 33% and all profitability metrics deteriorated materially; (ii) P/E of 47.3x prices in perfection, but the company delivered its weakest performance in recent years; (iii) entry of Grasim/Birla Opus with Rs.10,000+ Cr capex creates a well-funded competitor that could permanently compress industry margins; (iv) cash ratio (0.55x) and operating CF ratio (0.71x) are at multi-year lows, limiting financial flexibility for competitive responses; (v) dividend yield of only 1.14% (Rs.24.80/share at price Rs.2,407) provides thin income cushion.

Arguments FOR holding (existing investors): (i) Undisputed market leader with ~54% domestic share and exceptional brand equity; (ii) virtually debt-free balance sheet (D/E: 0.033x) - strongest in the industry; (iii) ROE of 19% and ROCE of 25% still significantly exceed cost of capital, confirming continued value creation; (iv) gross margin of ~50% demonstrates enduring pricing power despite competition; (v) company has historically navigated competitive threats successfully; (vi) completed capacity expansion positions the company for volume recovery; (vii) healthy dividend payout ratio of 61.4% rewards patient shareholders; (viii) the stock remains a constituent of Sensex/Nifty 50.

Final Verdict: Asian Paints remains a fundamentally strong company with an impeccable balance sheet, market leadership, and industry-leading margins. However, the combination of sharply declining profitability (PAT -33%), rising competitive threats, and expensive valuation (P/E 47.3x on declining earnings) makes it an unattractive entry point for new investors. Existing investors should HOLD and closely monitor FY2026 results for signs of margin recovery, competitive stabilization, and demand revival before considering additional allocation. New investors should wait for a more attractive entry valuation (ideally P/E <40x or clear evidence of margin recovery).

Sources & References

1. Asian Paints Ltd - Integrated Annual Report FY2024-25 & FY2023-24 (www.asianpaints.com/investors.html)
2. BSE India - Asian Paints Ltd Financial Filings (www.bseindia.com/stock-share-price/asian-paints-ltd/ASIANPAINT/500820/)
3. NSE India - Asian Paints Ltd Financial Results (www.nseindia.com/get-quotes/equity?symbol=ASIANPAINT)
4. Screener.in - Asian Paints Consolidated Financials (www.screener.in/company/ASIANPAINT/consolidated/)
5. Moneycontrol & Equitymaster - Asian Paints Financial Data (www.moneycontrol.com, www.equitymaster.com)

Note: All financial figures sourced from audited consolidated financial statements. All amounts in Rs. Crores unless stated otherwise.